New York City, NY

Strategic IT Landscape and Market Analysis Report

SLG Strategy Team

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1. Executive Summary & Macro Landscape

The political and economic climate of New York City (NYC) in 2026 is defined by a profound transitional phase under Mayor Zohran Mamdani and a continued emphasis on stringent municipal fiscal oversight.[1] The city's macro landscape is shaped by managing the largest municipal budget in the nation's history—amounting to $115.1 billion for the Fiscal Year 2026 Executive Budget —while navigating affordability crises and the depletion of pandemic-era federal relief funds. Mayor Mamdani's administration is hyper-focused on fiscal accountability, underscored by the executive mandate for all city agencies to appoint dedicated "Chief Savings Officers" tasked with identifying wasteful programmatic spending .

The municipal mandate is no longer merely to modernize; it is to modernize with absolute financial transparency and undeniable, hard-dollar cost-efficiency. Scathing audits of high-profile projects like the $100 million MyCity portal [3] and intense City Council hearings regarding the deployment of artificial intelligence (AI) have shifted the procurement paradigm. For the current fiscal year, core administrative goals include:

- **Public Safety & Criminal Justice Modernization:** Transitioning to Next Generation 911 (NG911) and modernizing the e-Arraignment system and Next Generation Data Platform .
- **Economic Development & Digital Equity:** Expanding high-speed broadband to NYCHA residents via Big Apple Connect and distributing 350,000 internet-enabled Chromebooks to public school students .
- **Algorithmic Accountability:** Enforcing nation-leading AI governance via the GUARD Act and Local Law 35 .
- **Infrastructure Stabilization:** Addressing "critical risk" legacy financial and payroll systems that have not been modernized in over 40 years .

2. Power Structure & Key Stakeholders

The technological power structure in NYC is highly matrixed, requiring engagement with "financial purchasers" (budget approvers) and "technical influencers" (architectural decision-makers). Recent transitions have shifted OTI leadership under the Deputy Mayor for Operations, signaling a move toward integrating technology directly into daily municipal efficiency .

Name & Title	Sphere of Influence	Recent Public Stances on Technology
Zohran Mamdani Mayor of New York City	Financial Purchaser	Focused on extreme cost-savings and ethical technology use; appointed "Chief Savings Officers" to optimize agency spend .

Name & Title	Sphere of Influence	Recent Public Stances on Technology
Julie Menin Speaker, NYC Council	Financial Purchaser	Demands stringent fiscal oversight of technological expenditures; sponsored the GUARD Act for AI regulation .
Linda Lee Chair, Committee on Finance	Financial Purchaser	Scrutinizes financial projections; opposes tax hikes and advocates for protecting essential services through better resource management .
Carmen De La Rosa Chair, Committee on Technology	Policy & Procurement Influencer	Leads oversight hearings on biometric data and AI; critical of OTI's lack of transparency inherited from the previous administration .
Jennifer Gutiérrez Member, Committee on Technology	Policy & Procurement Influencer	Former chair and current influential member; grills OTI over failures in NG911 and broadband implementation .
Lisa Gelobter Chief Technology Officer (CTO) & Head of OTI	Technical Influencer & Financial Purchaser	Tasked with modernizing city government, improving service delivery, and ensuring innovation reflects the needs of all New Yorkers .
Julia Kerson Deputy Mayor for Operations	Financial Purchaser	Directly oversees the CTO and OTI; acts as the primary executive conduit for major municipal vendor approvals .

Name & Title	Sphere of Influence	Recent Public Stances on Technology
Kelly Moan Chief Information Security Officer (CISO)	Technical Influencer	Heads NYC Cyber Command; drives citywide efforts to protect and defend critical systems against cyber threats .
Kamar H. Samuels Chancellor, NYC Department of Education (DOE)	Financial Purchaser	Oversees a $33.5B budget; prioritizes literacy scores and bridging the digital divide through massive student device rollouts .
Yisroel Hecht Chief Information Officer (CIO), NYPD	Technical Influencer	Manages massive data storage requirements and edge-computing infrastructure for real-time surveillance .

3. IT Governance & Service Delivery Model

New York City uses a **Hybrid Operating Model**. The Office of Technology and Innovation (OTI) holds a centralized mandate for core municipal infrastructure, including the CityNet optical backbone and citywide cybersecurity posture via Cyber Command . However, "super-agencies" like the DOE and NYPD retain substantial autonomy, maintaining their own IT hierarchies for mission-critical modernization .

Friction Points & The Chargeback Model

The primary friction point centers on the intra-city chargeback structure. OTI operates as an internal managed service provider, financing approximately 17.7% of its FY 2026 revenue through transfers from individual agencies for the consumption of its "Service Catalog" resources . Agencies frequently bypass this central authority when OTI provisioning is perceived as sluggish or overly expensive, leading to "Shadow IT" silos.[6] This tension is exacerbated by new AI compliance requirements, as OTI must now act as an algorithmic auditor for agency projects under the **GUARD Act**.[9]

4. Financials & Budget Breakdown

The municipal fiscal year runs from July 1 to June 30. Heavy technology spending typically occurs in Q3 and Q4 (January-June) as agencies obligate remaining operational funds.[10]

- **OTI Central Budget:** The FY 2026 Preliminary Budget allocates $743.1 million to OTI, a decrease of nearly $70 million from FY 2025, reflecting the Mamdani administration's focus on cost-cutting . Of this, $566.2 million is dedicated to OTPS (Other Than Personal Services) for vendor contracts and maintenance.[11]
- **Federated Agency Budgets:** The DOE commands a staggering $33.5 billion total budget . For FY 2026, the DOE has a dedicated contract budget of $286 million distributed across 224 distinct contracts .
- **Federal/State Grants:**
  - **SLCGP (Cybersecurity):** National FY 2025 funding is $91.75 million . Recent New York State tranches include $13.9 million and $9 million explicitly for local government cybersecurity grants .
  - **SMART Grants:** $100 million annually through FY 2026 for advanced smart community technologies like automated traffic enforcement .

5. Strategic Initiatives & Projects

I. The MyCity Digital Platform (Phase 2)

- **Mandate:** Creating a "one-stop shop" for municipal benefits and a secure digital wallet.[6]
- **Investment:** Having spent $100 million already, OTI has requested an additional $81 million in the FY 2026 budget to resolve poor database functionality and inaccurate AI chatbots .
- **IT Requirement:** Advanced hybrid-cloud architecture, secure API management, and database consolidation to unify disparate agency records.[3]

II. Legacy Financial System Modernization (PMS/FMS)

- **Mandate:** Stabilizing "critical risk" systems that could "literally close down" the government if they fail .
- **Context:** The Payroll Management System (PMS) dates to 1984, and the Financial Management System (FMS) is nearly 30 years old .
- **IT Requirement:** High-availability compute and modern storage to replace mainframe-era infrastructure and address personnel retention risks .

III. NG911 & Criminal Justice Modernization

- **Mandate:** Transitioning emergency response to digital, IP-based networks and accelerating the judicial process .
- **Investment:** $7.7 million allocated for FY 2025/2026 licenses and hardware to support the

Next Generation e-Arraignment system and the Next Generation Data Platform .
- **IT Requirement:** Hyper-converged, on-premises storage capable of ingesting petabytes of unstructured video and forensic data.[13]

6. Procurement, Vendor Landscape, & Compliance

- **Procurement Vehicles:** The city heavily uses NYS OGS Information Technology Umbrella Contracts (Award 22802), OMNIA Partners (specifically for NYCHA piggyback contracts), and NASPO ValuePoint . M/WBE utilization is a mandatory consideration .
- **Incumbent Battlefield:**
  - **Dell Marketing LP:** Holds a $103.8 million DOE master agreement for software and support .
  - **SHI & CDW:** Prime resellers for Cyber Command, processing hundreds of millions in security spend .
  - **Verizon/Cellco:** Provides critical cellular backhaul for mobile command centers .
- **Compliance Mandates:**
  - **The GUARD Act:** Establishes a new office of algorithmic accountability to assess AI tools and create rules for procurement .
  - **Local Law 144:** Strictly mandates annual independent bias audits for Automated Employment Decision Tools (AEDTs) .
  - **Local Law 35:** Requires annual reporting on all algorithmic tools reported by agencies .

7. Actionable Dell Opportunities

Funded Alignment: MyCity & NG911 Modernization

OTI's $81 million request for MyCity Phase 2 and the $7.7 million criminal justice data platform rollout directly align with **Dell PowerEdge** and **PowerStore** solutions . Position **APEX** as a solution to OTI's chargeback friction, allowing agencies to consume infrastructure as an operating expense, bypassing CAPEX budget freezes enforced by "Chief Savings Officers."

Whitespace & Advisory: Ethical AI & The GUARD Act

The city's inability to track biometric data and fulfill GUARD Act audit requirements is a critical leadership gap . Dell should lead with **AI Advisory Services** to architect the **Dell AI Factory with NVIDIA**. This provides the secure data lineage and transparent model training environments required for the city to prove algorithmic compliance to the new office of algorithmic accountability.

Competitive Displacement: Legacy Financial Mainframes & DOE Consolidation

- **PMS/FMS Rip-and-Replace:** The 40-year-old payroll system is the city's highest-risk technical debt . Dell can execute a high-profile displacement of legacy mainframe maintenance by positioning high-availability **PowerScale** and **PowerProtect** vaults to

ensure the continuity of city financial operations.

- **DOE Contract Consolidation:** With the DOE managing 224 disparate contracts worth $286 million , Dell should leverage its $103.8 million master agreement to propose a consolidated lifecycle management program . This reduces the DOE's administrative overhead while securing the endpoint refresh for the 350,000 Chromebook rollout .

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